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Container Shipping & Supply Chain Insights

Industry outlook fast improving: Surging freight rates & pent-up demand drive positive peak season outlook

The global container shipping sector continues to demonstrate resilience in the face of persistent geopolitical uncertainty, supply chain disruptions and elevated bunker costs. 1Q26 operational updates from leading liners underscore robust demand, particularly in intra-Asia and regional trades, with SITC and TS Lines reporting year-on-year volume growth despite normalization in freight rates. Global majors such as COSCO Shipping also posted strong throughput gains, while Evergreen reported a turnaround in revenue supported by tight effective supply, elevated freight rates and the ability to pass through higher costs. European carrier Maersk beat profit forecasts and maintained full-year guidance, highlighting the sector's adaptability and the constructive demand outlook, while Hapag-Lloyd maintained its full-year guidance. Freight rates remain elevated, with the SCFI up 73% since March and surcharges widely implemented as carriers respond to Middle East-driven cost pressures. The recent week saw double-digit gains W/W, especially on Transpacific and Asia-Europe lanes, as peak season/emergency surcharges were implemented, and capacity management remains disciplined. Port congestion remains a structural feature, absorbing effective capacity and supporting rates, while US end-market indicators—LMI remains elevated and registered the second-fastest expansion since early 2022—signaling resilient demand despite intensifying cost pressures. The ongoing political developments between the US and China, with the Chinese commerce ministry [stating that both sides reached a positive consensus on promoting resolution of non-tariff barriers](#), is likely to further strengthen the outlook for global trade. Share price performance YTD reflects these dynamics, with Asian and intra-Asia liners broadly outperforming/at par with the MSCI World Transportation Index, and Asia liners' valuations still trading below sector averages, suggesting further upside potential as supply-demand fundamentals remain supportive.

Stock views: We remain constructive on the sector as we enter peak season, with surging freight rates, persistent port congestion and resilient end-market demand reinforcing a favorable outlook. Asia's leading shippers, including TS Lines, COSCO Shipping, OOIL, Evergreen Marine and Mitsui OSK, remain our preferred names, offering compelling near-term risk/reward, attractive dividend yields and balance sheet strength. Further, while we note the recent downgrade to Neutral for Westports reflecting a clouded outlook amidst moderating volume growth, less favorable risk asymmetry and rising cost pressures, we remain bullish on ICTSI and CMPH underpinned by their diversified portfolio and presence in high-growth and emerging markets offering defensiveness amidst geopolitical uncertainties.

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1Q26 operational update by liners indicates continued resilient demand outlook amidst geopolitical uncertainty

- **Despite ongoing geopolitical tensions and supply chain disruptions, intra-Asia container shipping operators continue to demonstrate robust demand and operational resilience in 1Q26.** SITC reported a +7.6%Y/Y increase in shipping volumes to 855,795 TEU and a 1.5% rise in revenue, even as average freight rates normalized from elevated levels, reflecting sustained cargo flows and supply chain diversification across Asia. Note the average freight rate softness aligns with normalization from last year's front-loaded base, rather than a deterioration in underlying demand. T.S. Lines similarly demonstrated volume strength, with a +3.3%Y/Y increase to 396,935 TEUs, underscoring the durability of intra-regional trade and the company's network agility in capturing pockets of demand amidst shifting routing and deployment schedules. Both operators benefitted from tighter effective capacity and persistent port congestion, which provided a structural floor for freight rates and favored agile regional players, as the underlying strength of intra-Asian cargo flows remains intact and diversification of supply chains continues across the region. Drewry's intra-Asia container index continues to rise and is up 5%W/W, the seventh consecutive week of rise and is now up 83% of pre-conflict levels on the back of higher bunker costs, reduced capacity and strong demand.
- **Building on the intra-Asia resilience, global container shipping leaders Evergreen Marine and COSCO Shipping offer further evidence that industry demand fundamentals remain robust and freight rate dynamics are evolving constructively.** COSCO in 1Q26 reported robust volume growth with COSCO's sector-wide throughput up 7% year-on-year—driven by strong Asia-Europe and intra-Asia flows—while Evergreen's sequential revenue improvement and expectations for further recovery reflect underlying cargo demand normalization into the peak season. Notably, industry commentary highlights that effective supply remains far tighter than headline capacity figures suggest, as ongoing bottlenecks, port congestion, and conflict-related diversions absorb a significant share of global fleet. This structural tightness, combined with the ability to pass through fuel surcharges and renegotiate contract terms, is supporting a firmer freight rate environment even as average rates have normalized from elevated prior-year levels. As supply chain fragmentation and trade diversification continue to reshape global cargo flows, operators with network scale, cost leadership, and digital integration are well positioned to capture incremental demand and defend profitability, reinforcing the industry's constructive outlook heading into the main-lane peak season.
- **Taiwanese liners April Operating Revenue update reinforces a rebound.** April 2026 operating revenue rose to NT\$31.36bn (+5% Y/Y, +14% M/M), reversing the declines seen in 1Q and showing first positive Y/Y improvement since March last year. Accumulated 4M26 revenue was NT\$117.9bn (-16% Y/Y). Similarly, monthly operating revenue improved for Wan Hai and Yan Ming, rising +13%/14%Y/Y and showing positive Y/Y improvements for the first time since Mar/Feb last year, respectively. The improvement reflects stronger demand post-CNY and the initial impact of higher freight rates, with management noting a more normalized peak season and resilient cargo flows.
- **European carriers outlook remains unchanged as** A.P. Moller Maersk (covered by Alexia Dogani) delivered a constructive sector readthrough in

1Q26, beating profit forecasts and maintaining full-year guidance, with strong volume growth of 9.3% year-on-year—particularly from Asian exports—and high vessel utilization offsetting a 14% decline in average freight rates. Hapag-Lloyd (covered by Alexia Dogani), while missing consensus on earnings due to a slight volume decline from Persian Gulf disruptions and adverse European weather, also reiterated its full-year guidance, with unit freight rates rising 2% quarter-on-quarter and management emphasizing ongoing uncertainty from Middle East conflict. Similarly, CMA CGM (Credit Analyst: Danielle Ward) reported continued volume growth in Q1, with management highlighting that industry-wide momentum has supported a sharp rebound in spot freight rates as the peak season approaches. The Shanghai Containerized Freight Index (SCFI) has surged over 75% since mid-February, reflecting both disruption premiums and shippers' efforts to front-load cargo in anticipation of further supply chain risks or tariff changes. Across the board, European carriers are actively managing higher costs through surcharges, hedging, and operational adjustments, maintaining stable outlooks despite persistent macroeconomic and geopolitical uncertainties, and underscoring the sector's ability to adapt as it heads into the main-lane peak season.

Freight rates on the rise amid supply chain disruptions and bunker fuel price hikes

- **Freight rates have surged 73% since the start of the Middle East conflict (as of May 29), with a c16% week-on-week increase in the latest update, driven by double-digit gains on the Transpacific and Asia-Europe routes.** This rise is supported by emergency fuel surcharges, peak season surcharges, general rate increases, capacity cuts, blank sailings, and firmer spot pricing as carriers actively manage vessel space amid higher bunker costs and geopolitical tensions. Early peak season demand and disruptions linked to the Middle East conflict are prompting shippers to move cargo ahead of schedule, keeping the market firm. The Shanghai Containerized Freight Index (SCFI) is up 73% since March and 62% Y/Y as of May 29, reflecting supply chain disruptions and higher bunker costs. Main-lane trades such as Shanghai-Europe and Mediterranean have risen 70%/59% since the end of February and are up 88%/61% Y/Y, while Shanghai-US West Coast and East Coast have risen 114%/96% since the end of February and are up 27%/25% Y/Y, respectively—remarkable given 2025's front loading effects and likely showing liner discipline amid negotiations on 2026 Transpacific contract rates. The cascading effects are also elevating freight rates in emerging and regional markets, providing performance visibility into 2Q26. Although the latest weekly freight rates have eased slightly, channel checks with liners forecast a return to growth trajectory as major carriers adjust deployment for the peak season ahead.
- **Time charter market tightness and elevated charter rates further differentiate carriers by fleet ownership structure, with owned fleet heavy operators better insulated from rising costs.** With containership timecharter rates at their highest levels outside of the Covid period (Clarksons Timecharter Rate Index at 206 points, up 4% since late February) and vessel availability remaining tight amid persistent operational bottlenecks—including record port congestion (Clarksons congestion index at an all-time high in Jan-May 2026) and conflict-driven diversions absorbing effective capacity—carriers with a higher proportion of owned fleet are structurally better positioned to insulate

earnings from rising charter costs. As Figure 10 illustrates, Evergreen maintains a relatively low chartered fleet ratio (~30% vs. Top 10 carrier average at ~43%, per Alphaliner May 2026 Monthly monitor), are significantly more exposed to elevated charter rates. In this environment, carriers like Evergreen and T.S. Lines (17% chartered), which operate predominantly owned fleets, benefit from a natural cost hedge—avoiding the margin compression that charter-dependent operators face as timecharter rates remain elevated and fixture periods extend to 1–2 years. This owned-fleet advantage is further amplified by the current supply tightness, where port congestion and longer dwell times effectively reduce available capacity, making it difficult for charter-reliant operators to secure tonnage at favorable terms. As peak season approaches and capacity management remains disciplined, the cost differential between owned and chartered capacity is likely to widen further, reinforcing the structural earnings advantage for operators with greater fleet ownership.

- **The industry is passing through bunker surcharges, and Asian liners could benefit from the relatively higher scrubber-installed rate.** Emergency fuel surcharges and higher Bunker Adjustment Factors (BAFs) are being widely implemented (Drewry), with the Iran conflict driving bunker prices up by about 75%, with these increases reflected in April freight rates. Meanwhile, high/low Sulphur fuel price spreads are at >US\$135 per ton on average since the end of February (vs as low as US\$30-50 in prior year during the same period, Clarksons). Notably, Asian liners are structurally advantaged in this environment: while the industry average for SOx scrubber-fitted capacity stands at 47%, leading Asian carriers such as Evergreen (95%), TS Lines (94%), COSCO/OOIL (58%), and Yang Ming (73%) have a significantly higher proportion of their fleets equipped with scrubbers. This positions them to benefit more from the widening fuel price spread, helping to offset cost pressures and maintain stronger cost discipline relative to global peers.
- **Regulatory Watch: IMO MEPC 84 meeting update.** Since the adjournment of the IMO's Net Zero Framework vote at the extraordinary session in [October 2025](#), the regulatory landscape has remained in flux. At the recent MEPC 84 (April-May 2026), member states reiterated their commitment to the Net Zero target and agreed to continue technical work on the framework, but no final decision was reached. The committee scheduled further intersessional meetings and set the next extraordinary session for late 2026, leaving the timeline for adoption and implementation subject to ongoing negotiation. In the interim, shipowners, fuel producers, and investors are monitoring developments closely, as the evolving regulatory process will play a key role in shaping future investment and compliance strategies for the sector. Progress continues on alternative fuel adoption, with 12% of fleet capacity now capable of using alternative fuels (mainly LNG and methanol), per Clarksons. 75% of capacity on order is alternative fuel capable, reflecting the sector's focus on emissions compliance. Energy Saving Technologies (ESTs) are increasingly prevalent, fitted to 62% of fleet capacity, up from 35% in early 2019 with Asian carriers poised to benefit given the higher than industry average scrubber fitted fleet.
- **Liners are actively managing capacity through blank sailings to navigate ongoing disruptions and maintain network stability.** Drewry World Container Index (WCI) rose 3% week-over-week to US\$2,800 per 40ft container as of 28 May, reflecting strengthening freight markets across major East–West trade lanes. Spot rates increased on both Asia–Europe and

Transpacific routes, with Shanghai–Rotterdam up 3% to \$2,861, Shanghai–Genoa up 4% to \$4,253, Shanghai–New York up 6% to \$4,597, and Shanghai–Los Angeles up 3% to \$3,473 per 40ft container. Early peak season demand, frontloading ahead of July bunker adjustments, and ongoing geopolitical tensions—including Middle East disruptions and elevated fuel costs—are driving carriers to raise FAK and PSS rates while actively managing capacity through blank sailings. Since the end of April, rates have increased 38% on Asia-Europe/Med routes and 26% on Transpacific. Capacity discipline supports rate momentum as over the next five weeks (weeks 23–27), 47 blank sailings are expected over the next five weeks, from week 23 (1-7 June) to week 27 (29 June–5 July), out of 707 scheduled departures, reflecting a 7% cancellation rate, with 93% of services still expected to sail as planned. Disruptions are concentrated on the Transpacific eastbound trade (49%), followed by Asia–Europe/Med (34%), while the Transatlantic (17%) remains comparatively less affected. Gemini Cooperation continues to maintain strong schedule adherence. As capacity discipline persists and demand is pulled forward, Drewry expects further upward pressure on rates, making early planning and flexible booking strategies essential for shippers amid continued volatility and operational uncertainty.

US end market shows signs of resiliency and could rebound in 2Q26 against last year's impact of 'Liberation Day' tariffs

- **US LMI May update – expansion remained robust, though moderating as cost pressures intensify.** The Logistics Managers' Index (LMI) continued to expand in May 2026, registering a strong 69.5—slightly slower than April's 69.9, but still marking the second-fastest expansion since early 2022. This persistent but moderating growth reflects a deceleration in Inventory Levels, which fell 1.5 points to 54.8; the deceleration was especially pronounced in the latter half of May as Inventory Levels dropped from 60.5 to 50.9. While smaller firms nearly stalled at 51.0, larger firms maintained higher momentum at 59.5, highlighting the resilience that scale offers in a high-cost environment. Despite this moderation in inventory growth, logistics costs surged sharply: Inventory Costs jumped 9.4 points to 84.1, the highest in four years, and Warehousing Prices stayed elevated at 70.7. Transportation Prices soared to a new all-time high of 96.0, while Transportation Capacity contracted further to 31.7 and aggregate logistics costs reached 250.9, largely due to ongoing disruptions from the Strait of Hormuz and rising global fuel costs. Downstream Inventory growth has now outpaced Upstream by 3.6 points, suggesting manufacturers' previous inventory pull-forwards are working down the supply chain. Looking ahead, expectations for the next 12 months are somewhat tempered, with respondents projecting a future LMI of 69.4, slower inventory growth, and continued elevated costs, even as some capacity constraints may ease. Overall, supply chains have remained resilient in the face of persistent disruption and high costs, but prolonged cost pressure and a tightening freight environment could present ongoing inflationary risks and weigh on demand in the coming months.
- **April 2026 US containerized imports pulled back modestly post March rebound, as trade policy uncertainty weighed on near-term momentum.** Monthly container import volume declined 3.2% M/M and 5.5% Y/Y, totaling 2,277,965 TEUs ([Descartes](#)). Despite the sequential pullback—breaking from

the typical seasonal pattern of M/M increases observed in 8 of the previous 10 years—volumes remained 18.7% above April 2019 levels, reflecting continued underlying demand resilience. The moderation follows March's rebound (container import volumes up 12.4% M/M and down 1.1%Y/Y) and coincides with unresolved trade relations with key partners including the EU, India, and China, as well as ongoing Section 122 tariffs and uncertainty around tariff refund timelines. Imports from Southeast Asian markets such as Thailand (+36.3%) and Indonesia (+13.3%) continued to gain share in April, partially offsetting the 15.3% decline in volumes from China. This ongoing sourcing diversification underscores importers' efforts to mitigate concentration risk amid persistent trade policy uncertainty. [US NRF](#) expects May-June volume to grow year-over-year against the Liberation Day import shock in 2025. This trend will bode well for traditional peak-season planning, which benefits carriers to smoothen schedules and raise profitability, in our view.

- **US inventory restocking has moderated in recent months**, with the Logistics Managers' Index (LMI) showing a slight decline in inventory levels but continued expansion overall. While April and May data indicate that firms are becoming more cautious—reflected in a narrowing gap between current and future inventory expectations—inventory costs remain elevated, suggesting that per-unit cost pressures persist even as physical restocking slows. Notably, larger firms have been more active in rebuilding inventories, leveraging their scale to absorb higher fuel and logistics costs, while smaller firms have largely held inventory levels steady. Despite the recent pullback in containerized imports and softer booking trends from Asia, underlying demand remains resilient, and restocking activity is expected to pick up as the peak shipping season approaches. Overall, the US supply chain continues to demonstrate adaptability, with inventory strategies evolving in response to cost pressures, shifting consumer demand, and ongoing supply chain disruptions.

Middle East conflict has exacerbated port congestion amid operational bottlenecks

- **Clarksons' port congestion index is up at an all-time high in 2026.** Jan-May average congestion index is up c5%Y/Y (Clarksons), which is likely to further rise amid the upcoming main-lane peak season, in our view. [T.S. Lines' NDR](#) and COSCO's NDR noted that major Chinese ports, which are among the most efficient ones globally, see congestions on the rise. Southeast Asian ports, including those in the Philippines, Thailand, and Vietnam, face similar bottlenecks as regional infrastructure investment continues to lag demand. This widespread congestion effectively absorbs vessel capacity and provides a structural floor for freight rates although offset by some operational overhang for containerships.
- **European ports see persistent issues while the most efficient APAC ports are also seeing delays.** The latest Kuehne + Nagel port operational update ([19 May](#)) indicates European ports remain disrupted, with yard utilization at several key terminals running near or above 85% and operations strained by convergence of labor actions, holiday schedules, and limited buffer capacity. In APAC, Shanghai is now seeing waiting times of more than 2 days, while Ningbo holds at ~1.9 days — reinforcing that even the world's most operationally efficient ports are unable to clear backlogs cleanly. Beyond China, congestion is acute in Manila (~4.6 days) and Tanjung Pelepas (~1.8 days with

congestion expected to fluctuate as berthing conditions remain fluid due to operational unavailability due to dredging works). The breadth of delays across both regions underscores that the global container network continues to operate at/above stress thresholds, where even modest disruptions risk cascading into broader service delays.

- **Drewry's Global Container Port Throughput Index fell 1.3% month-on-month in March, mainly due to disruptions in the Middle East following the Strait of Hormuz closure but remained up 1.1% year-on-year.** In the latest Drewry throughput data (released on 27 May), despite regional volatility, global throughput increased 4% year-to-date by the end of 1Q26, driven by strong growth in Greater China, Oceania, and North/Southeast Asia. Greater China saw a 2.3% MoM and 4.5% YoY increase, with Shanghai up 8% MoM and Tianjin surging 40% MoM. North America rebounded 3.8% MoM, led by New York's 42% recovery after February blizzards, though several ports remain below last year's levels. Europe stabilized, with Antwerp-Bruges up 12.9% MoM, and Port Said East in the Mediterranean continuing to outperform, rising 12% MoM and 43% YoY. These trends highlight the resilience and divergence across global ports amid ongoing geopolitical and operational challenges.
- **Readthroughs from Westports 1Q26 results.** Westports Holdings' (covered by Yen Voo) 1Q26 results reinforce the sector's resiliency and ability to leverage operational levers such as price hikes to mitigate demand and cost pressures, as Westports recorded resilient earnings driven by tariff hikes and higher value-added services, despite flattish throughput (-1% YoY) and elevated geopolitical uncertainty. Management guided April volumes up ~3% YoY, reflecting ongoing supply chain disruptions and longer dwell times that continue to absorb effective capacity. The outlook remains cautious, with FY26 volume growth expected at 0–5% and visibility tied to Middle East developments. Overall, Westports' performance highlights the sector's ability to defend profitability through pricing and operational levers, even as volume recovery depends on normalization of trade flows.
- **China Merchant April 2026 throughput accelerated to 4.8%Y/Y (vs 2.4% in March),** signaling a broadening recovery across its portfolio. The improvement was led by Yangtze River Delta (+7.8% YoY) and Bohai Rim (+5.8% YoY), while Pearl River Delta remained marginally soft (-1.8% YoY). Notably, overseas volumes swung to positive territory (+4.1% YoY vs. -1.1% in March), and the drag from Other Domestic (incl. Taiwan) narrowed significantly (-0.8% vs. -12.2% in March). The sequential improvement across nearly all clusters is consistent with the broader post-CNY demand recovery and aligns with industry-wide signals of resilient Chinese port throughput.

Container shipping share price performance review

- **In 2026 year-to-date,** container liner share prices have shown notable resilience, with Asian carriers broadly at par/outperforming the MSCI World Transportation Index, which is up 9% YTD (as of 2 June). Before the recent Middle East conflict, share price gains were led by Asian—particularly intra-Asia and Japanese—liners, which consistently outpaced the Transportation Index, while European carriers generally lagged. ZIM and Hapag-Lloyd were exceptions, posting strong gains on acquisition-related developments. The onset

of the Middle East conflict introduced new phases in performance: as geopolitical tensions escalated and freight rates surged in early March, long-haul exposed liners saw a sharper rise in share prices compared to their regional and intra-Asia peers – which saw eventual easing as the market began to factor in the crisis. Recent trade talks between China and the US further enforce a positive outlook for global shipping if trade tensions ease between the two nations. Despite these fluctuations, Asian liners continue to trade below the sector's average price-to-book value (FY26-27E ~1.1x), suggesting further upside potential. This is underpinned by resilient supply-demand fundamentals, superior cost management among Asian operators, and attractive dividend yields, positioning the group favorably for the remainder of the year.

Table 1: Global Container Shipping Comps

	BBG Ticker	JPM Rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$m	YTD stock price chg	P/E (x)		EV/EBITDA		Dividend yield		ROE (%)		P/B (x)	
								FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Container Shipping																	
COSCO Shipping - H	1919 HK	OW	14.08	21.00	49%	31,780	2%	7.4	8.3	6.8	8.2	6.7	6.0	10.7	9.1	0.8	0.7
COSCO Shipping - A	601919 CH	OW	14.47	22.00	52%	31,779	-5%	8.8	9.8	6.8	8.2	5.7	5.0	10.7	9.1	0.9	0.9
OOIL	316 HK	OW	135.10	176.00	30%	11,388	8%	7.7	9.9	0.4	0.0	6.4	5.0	10.7	8.0	0.8	0.8
Evergreen Marine	2603 TT	OW	236.00	312.00	32%	16,238	24%	7.5	8.8	6.3	6.2	6.8	5.4	11.1	9.1	0.8	0.8
Yang Ming Marine	2609 TT	NC	53.20	NA	NA	5,904	-4%	14.9	17.4	0.6	0.6	2.8	3.8	3.8	4.3	0.6	0.5
Wan Hai	2615 TT	NC	83.70	NA	NA	7,464	6%	8.4	10.3	3.1	3.5	NA	NA	10.1	7.1	0.8	NA
SITC International	1308 HK	NC	34.50	NA	NA	11,941	27%	11.0	11.5	9.5	9.9	7.0	6.6	40.7	36.4	4.3	4.0
TS Lines	2510 HK	OW	8.47	13.50	59%	1,800	2%	5.4	5.0	2.6	2.4	10.2	10.2	16.1	15.9	0.8	0.7
AP Moller-Maersk	MAERSKB DC	UW	17,565	8,100	-54%	42,541	20%	-19.3	-8.5	17.1	62.4	0.0	0.0	-3.9	-9.5	0.8	0.8
Hapag Lloyd	HLA GR	UW	115.40	65.00	-44%	23,595	-2%	-21.1	-15.9	13.7	15.7	0.0	0.0	-5.6	-8.1	1.2	1.3
HMM	011200 KS	NC	19,500	NA	NA	11,999	-5%	14.4	16.6	4.9	5.3	3.2	2.9	4.8	4.0	0.7	0.7
Kawasaki Kisen	9107 JP	OW	2,586	2,800	8%	10,336	19%	13.6	17.6	11.9	11.3	4.6	4.6	6.7	5.2	0.9	0.9
Mitsui OSK	9104 JP	OW	5,534	6,900	25%	12,562	17%	10.4	11.5	41.3	12.6	3.7	3.8	6.2	5.5	0.6	0.6
NYK-Line	9101 JP	N	5,438	5,900	8%	13,783	8%	10.8	14.3	10.0	8.3	3.7	3.8	6.5	4.8	0.7	0.7
Zim	ZIM US	UW	25.07	9.00	-64%	3,019	18%	-3.5	-2.5	12.7	73.9	0.0	0.0	-25.2	-54.1	1.0	1.8
Average								5.1	7.6	9.8	15.2	4.3	4.1	6.9	3.1	1.0	1.1

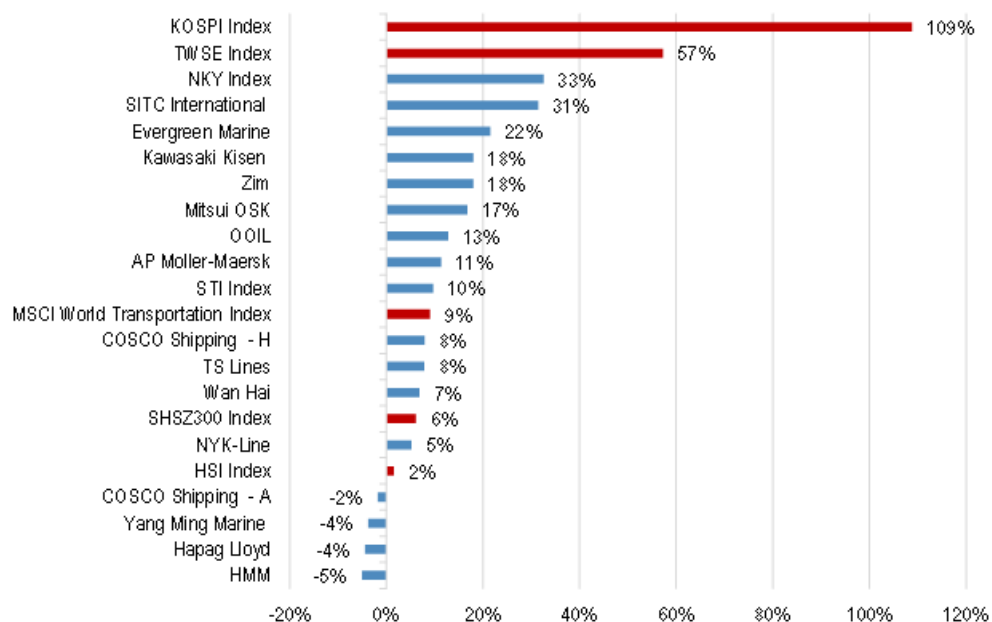
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Consensus estimates for not covered (NC) companies, J.P. Morgan estimates for all others. Note: For Kawasaki Kisen, Mitsui OSK, NYK-Line, Mercator Lines, next FY figures taken because FY ends in March. All share prices are as of Jun 4, 2026 (intra-day for non-Asia names). Daily turnover shows 3M average daily trading value in USD terms. Past results are not an indicator of future performance.

Table 2: Global Ports Comps

	BBG Ticker	JPM Rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$Mn	YTD Stock perf.	P/E (x)		EV/EBITDA		Dividend yield		ROE (%)		P/B (x)	
								FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
ICTSI	ICT PM	OW	849.50	925.00	9%	27,891	50%	24.6	21.9	14.0	13.0	2.2	2.2	47.6	42.6	10.5	8.5
Adani Ports	ADSEZ IN	OW	1790.90	2000.00	12%	43,092	22%	27.4	22.8	18.1	15.7	0.5	0.6	15.1	15.9	3.9	3.4
JSW Infrastructure	JSWINFRA IN	OW	272.80	333.00	22%	5,989	-4%	35.7	24.0	21.0	13.3	0.3	0.4	13.0	16.4	4.4	3.7
Aegis Vopak Terminals	AEGISVOP IN	NC	191.54	NA	NA	2,216	-23%	40.2	25.5	NA	15.8	NA	0.0	NA	14.3	4.0	3.1
Abu Dhabi Ports	ADPORTS UH	N	4.40	6	36%	6,097	-8%	22.0	12.2	9.6	7.6	NA	NA	4.1	6.9	0.7	0.7
Westports	WPRTS MK	N	6.02	6	3%	5,156	6%	18.8	17.2	11.8	10.5	3.2	3.5	23.5	23.7	4.5	4.0
Marsa Maroc Terminal	MSA MC	NC	828.10	NA	NA	6,610	-13%	27.8	22.7	15.3	12.0	1.7	2.1	46.1	42.8	11.2	8.6
China Merchants Port Holding	144 HK	OW	14.53	18	24%	7,786	-4%	8.3	8.2	11.8	11.4	5.8	5.9	6.6	6.4	0.5	0.5
COSCO SHIPPING Ports	1199 HK	NC	5.07	NA	NA	2,563	-9%	7.7	7.2	14.0	12.9	4.9	5.4	5.1	5.5	0.4	0.4
Shanghai International Port Group	600018 CH	NC	5.00	NA	NA	17,185	-8%	8.5	8.2	8.3	7.9	3.9	4.0	9.3	9.1	0.8	0.7
Average							1%	22.1	17.0	13.8	12.0	2.8	2.7	18.9	18.4	4.1	3.4

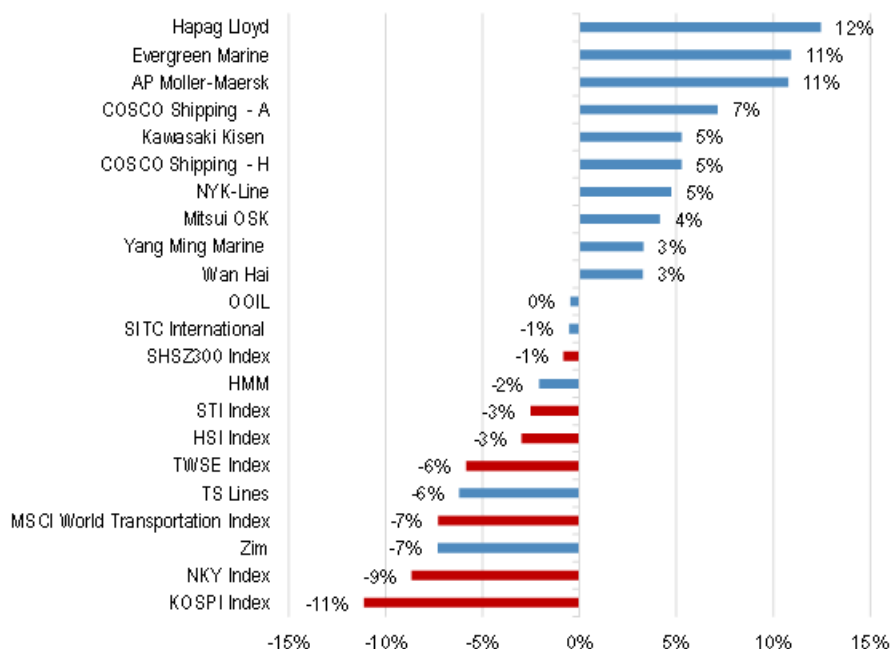
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Consensus estimates for not covered (NC) companies, J.P. Morgan estimates for all others. Note: All share prices are as of 4 June 2026 (intra-day for non-Asia names). Daily turnover shows 3M average daily trading value in USD terms. Past results are not an indicator of future performance.

Figure 1: Global Liners' YTD Share Price performance (2026)



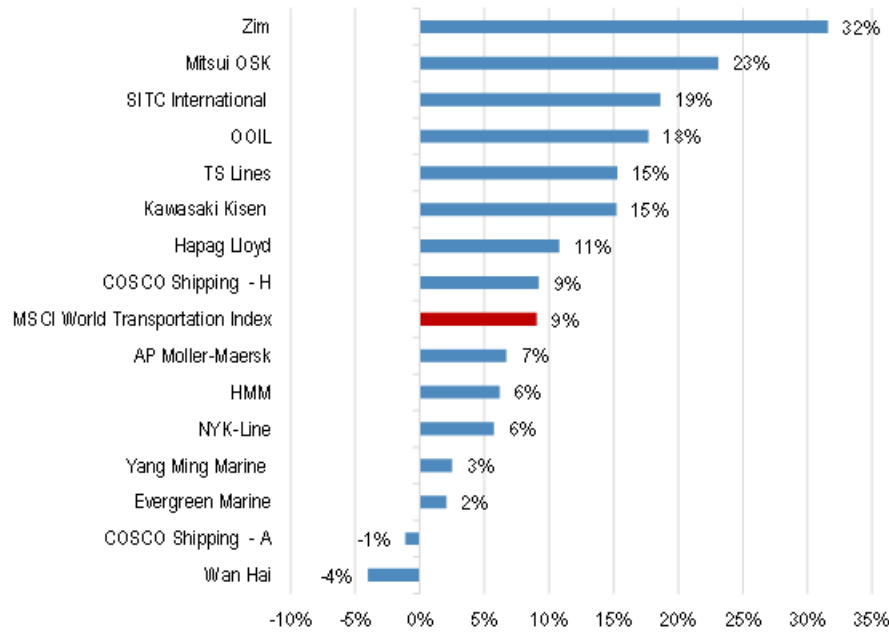
Source: Bloomberg Finance L.P. Last price as of 2 Jun 2026.

Figure 2: Global Liners' share price performance during the first 3 weeks of the conflict (28th Feb – 18th March)



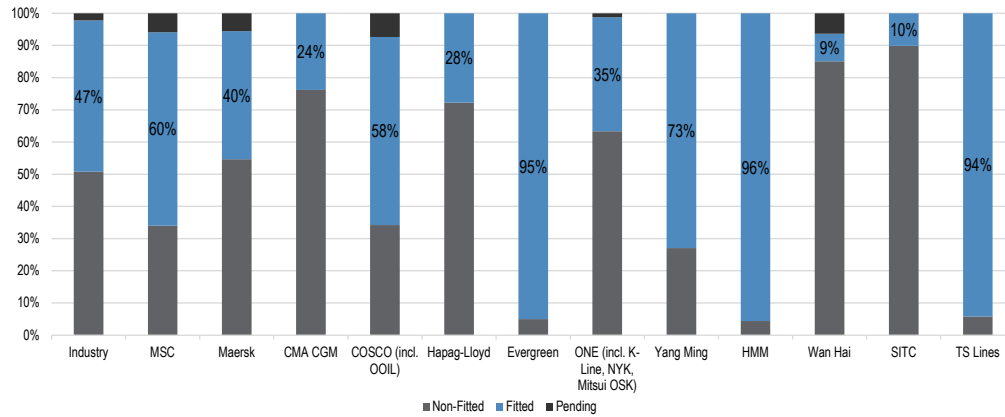
Source: Bloomberg Finance L.P. Share price performance between 28th Feb – 18th March 2026.

Figure 3: Global Liners' share price performance pre-conflict in 2026 (2 Jan - 28 Feb)



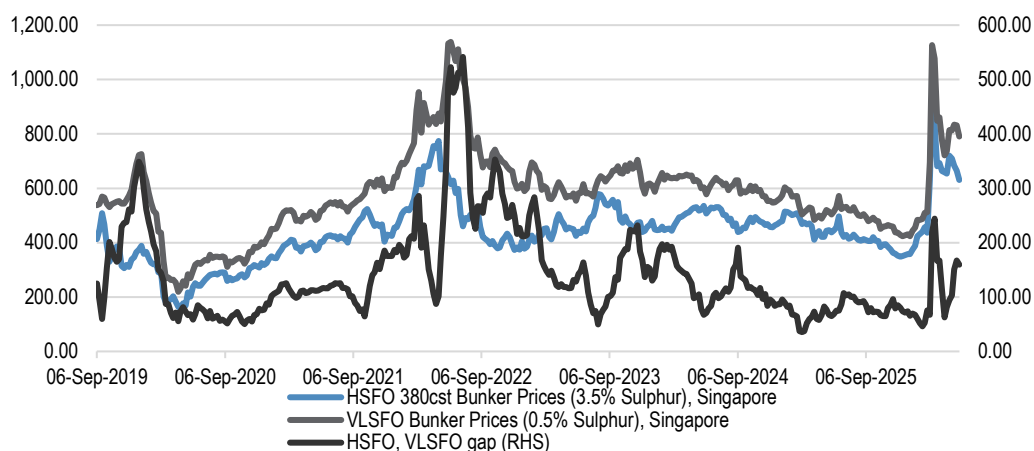
Source: Bloomberg Finance L.P. Share price performance between 2 Jan - 28 Feb 2026.

Figure 4: % of Capacity Scrubber-fitted Across Industry (Based on Clarksons' Vessel Ownership Tracking)



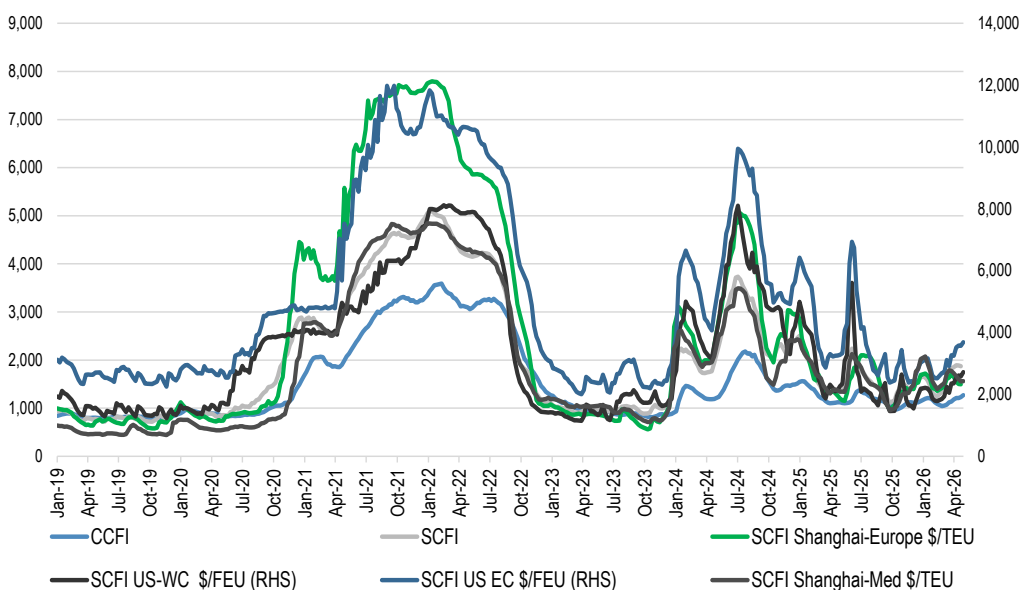
Source: Clarksons as of the beginning of 2026. Note: the data is based on TEU-capacity, grouped by the ownership of vessels (i.e. self-owned capacity). Also note that the condition of total operating fleet of a company may be different from self-owned figures.

Figure 5: HFSO vs VLSFO Bunker Fuel Price (USD/ton)



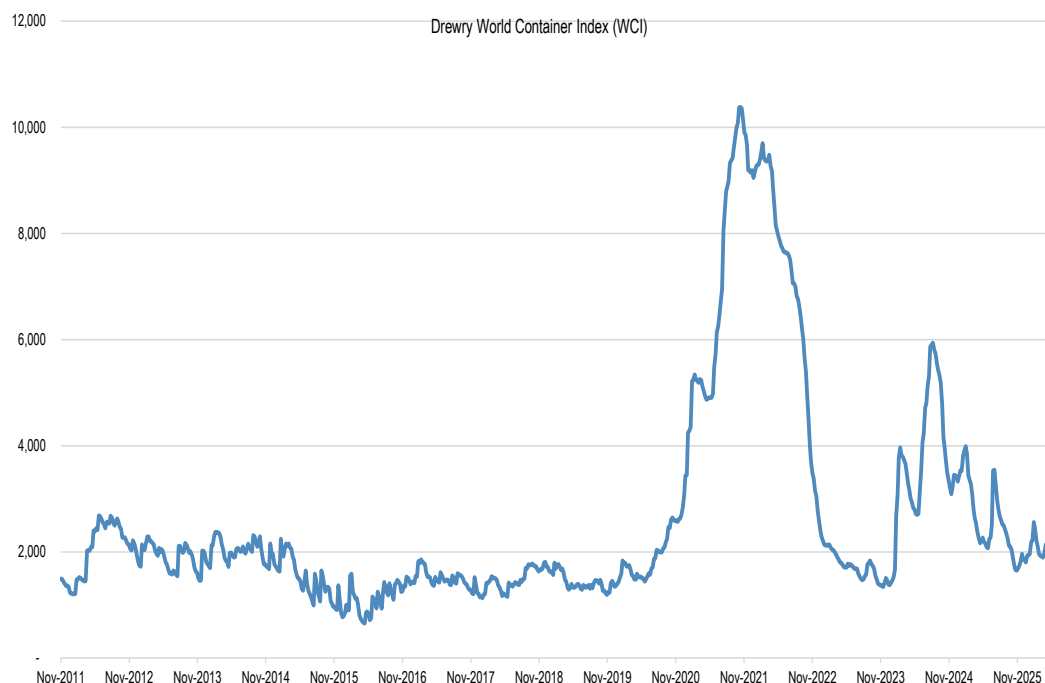
Source: Clarksons, as of 29 May 2026. Note: referencing the tracker of Singapore fuel prices.

Figure 6: Shanghai Containerized Freight Index by route



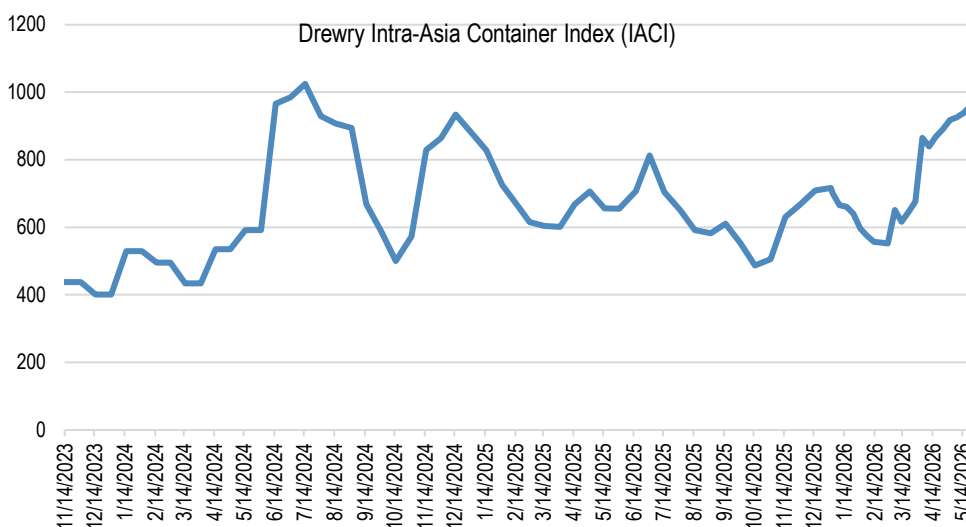
Source: Shanghai Shipping Exchange, Clarksons, as of 14 May 2026.

Figure 7: Drewry World Container Index



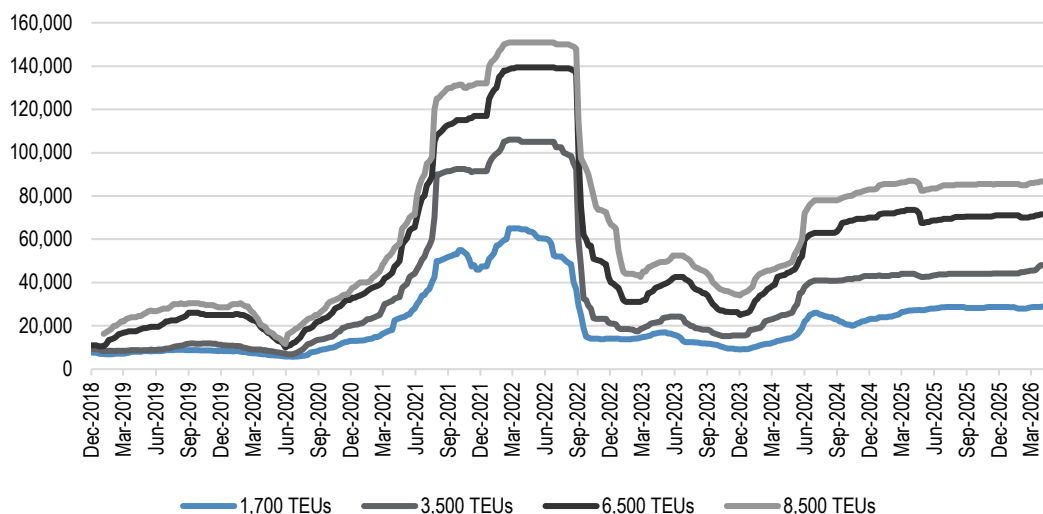
Source: Drewry WCI as of 29 May 2026.

Figure 8: Drewry Intra-Asia Container Index (IACI)



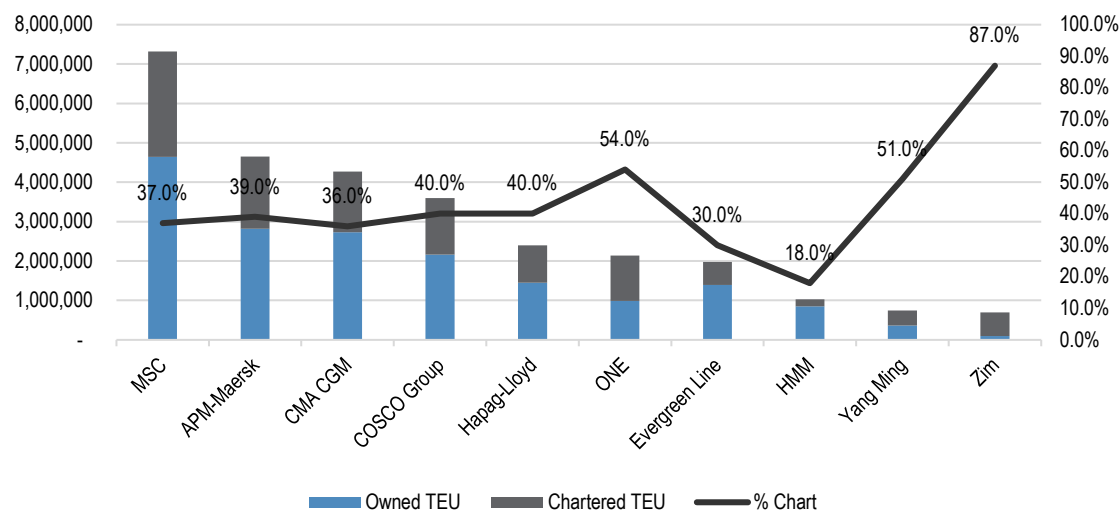
Source: Drewry WCI as of 29 May 2026.

Figure 9: Clarksons - Containership Time Charter Rate by size



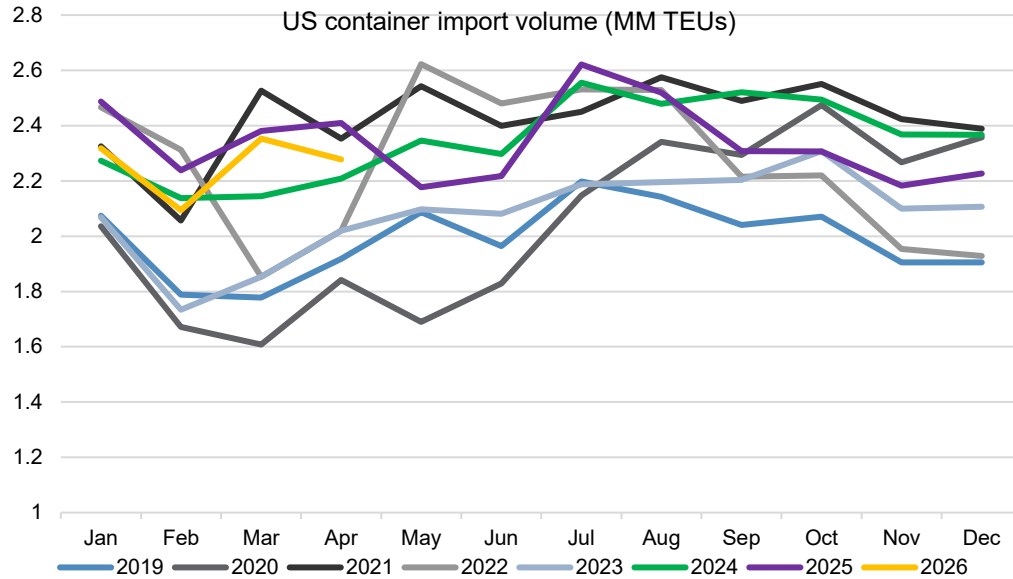
Source: Clarksons. Latest data as of 29 May 2026.

Figure 10: Top 10 Carriers Owned vs. Chartered Fleet Ratio



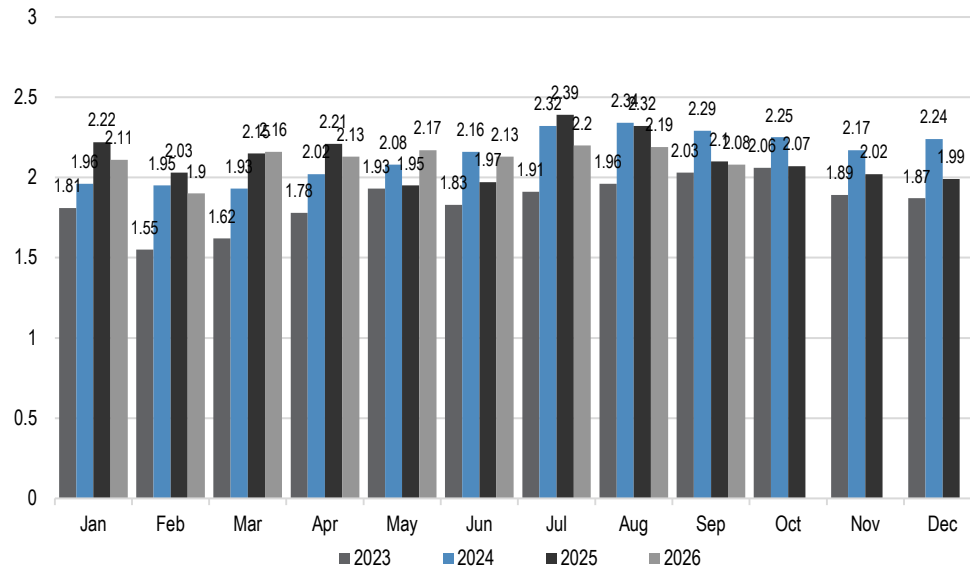
Source: Alphaliner May 2026 Monthly Monitor Report, J.P. Morgan estimates.

Figure 11: Descartes - U.S. Containerized Import Volume



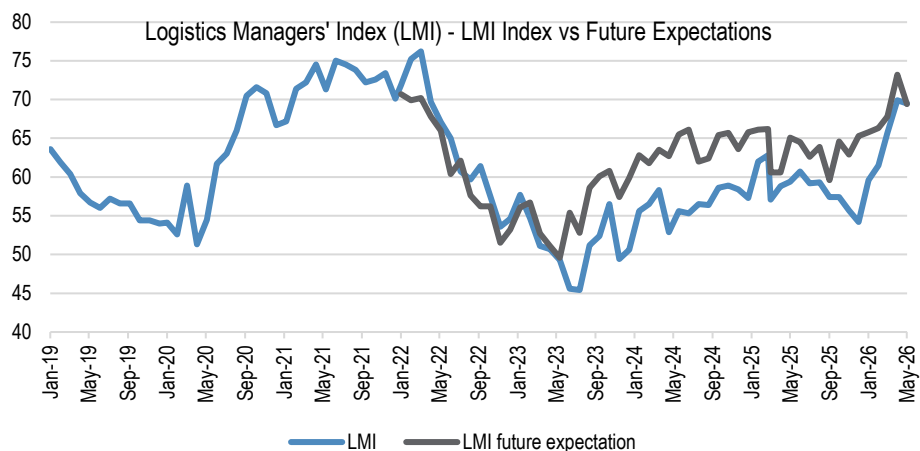
Source: Descartes, as of April 2026 edition (released in May).

Figure 12: U.S. NRF - Monthly Imports (MM TEU)



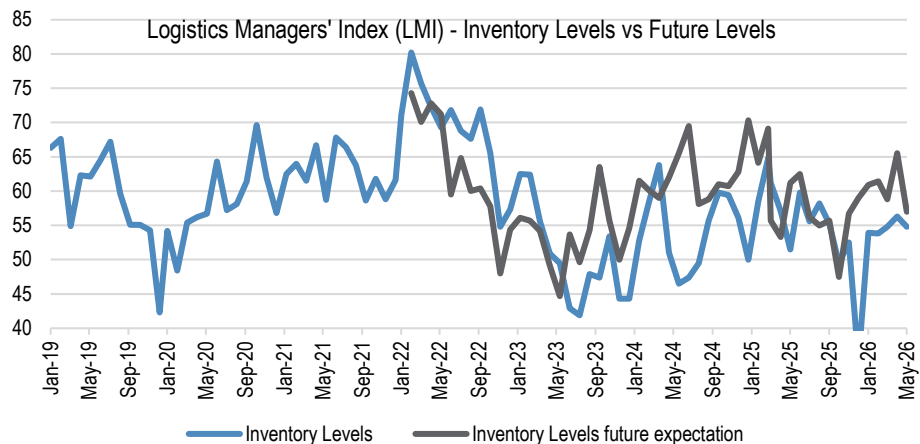
Source: U.S. National Retail Federation (NRF), as of May 2026.

Figure 13: U.S. Logistics Managers' Index (LMI) - LMI Index vs Future Expectations



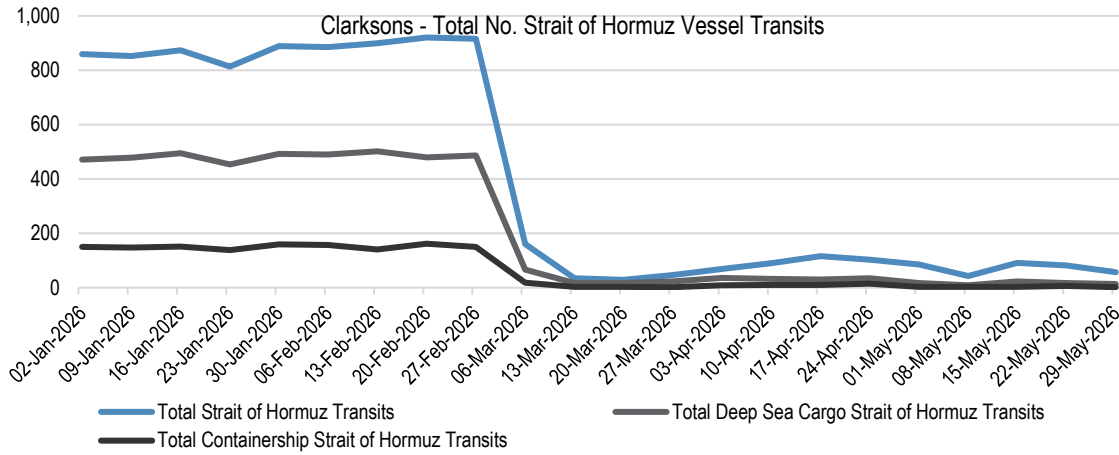
Source: U.S. Logistics Manager Index (LMI), as of May 2026.

Figure 14: U.S. Logistics Managers' Index (LMI) - Inventory Levels vs Future Levels



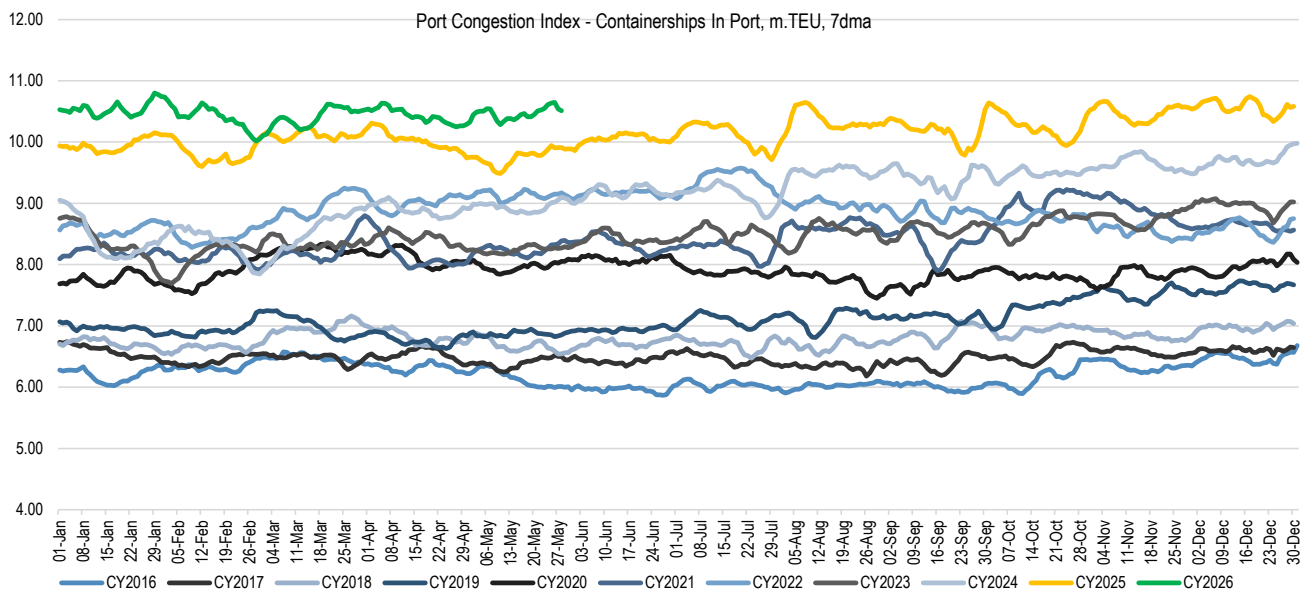
Source: U.S. Logistics Manager Index (LMI), as of May 2026.

Figure 15: Clarksons - Weekly Total No. of Strait of Hormuz Vessel Transits



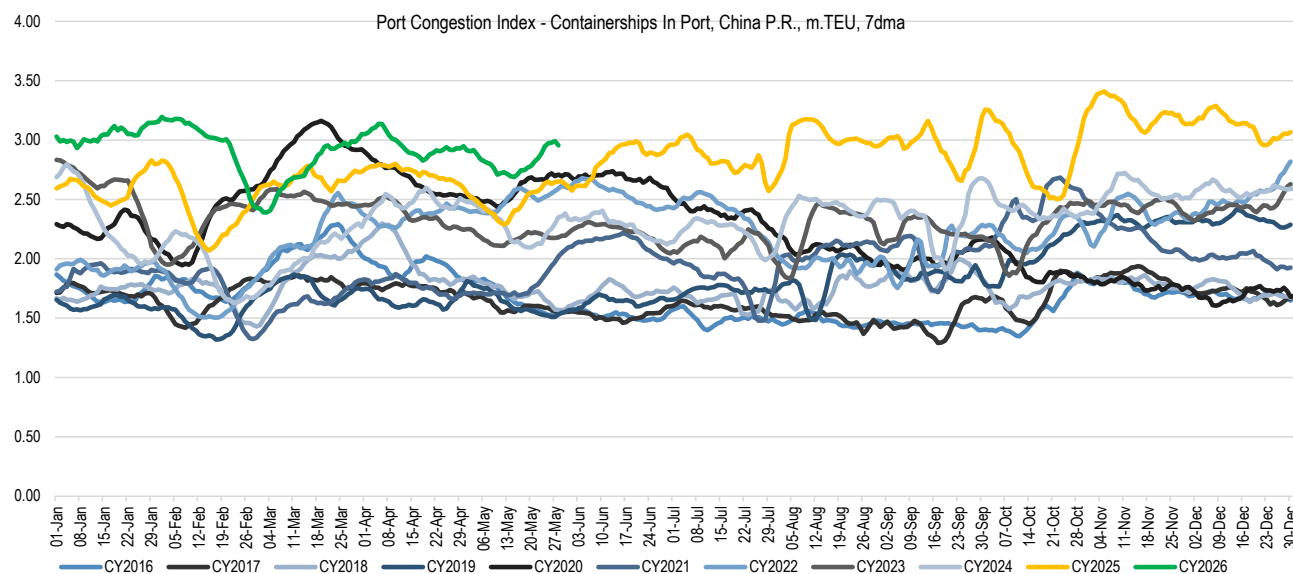
Source: Clarksons. Latest updated for 29 May 2026.

Figure 16: Clarksons Port Congestion Index - Containerships in Port, m.TEU, 7dma



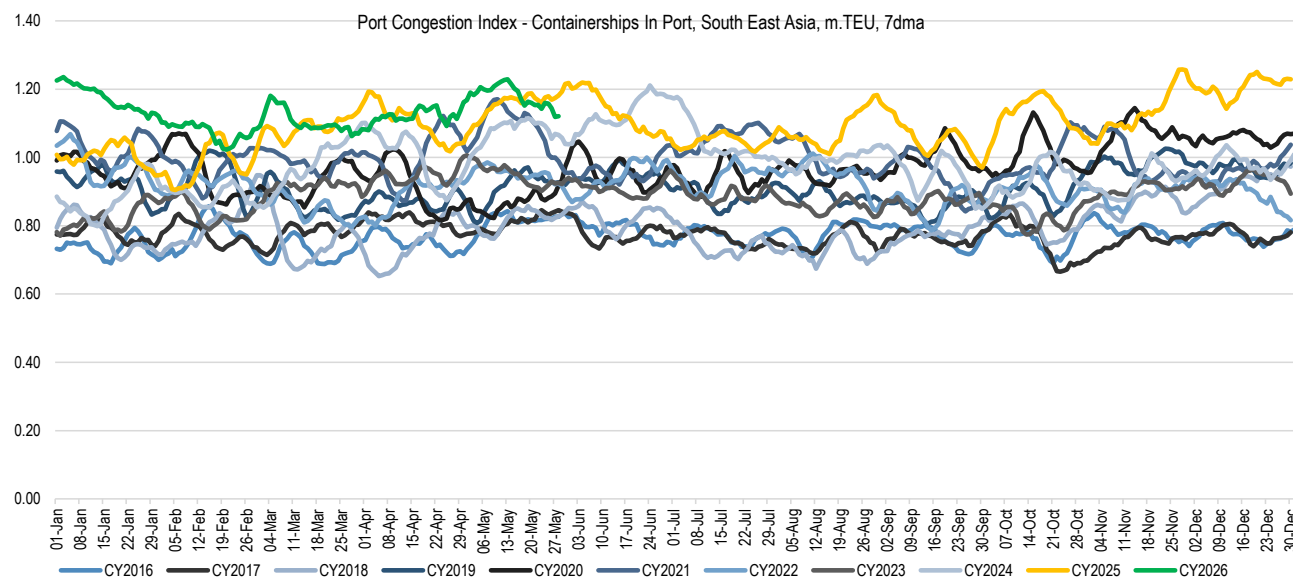
Source: Clarksons, as of 29 May 2026.

Figure 17: Port Congestion Index - Containerships in Port, China P.R., m.TEU, 7dma



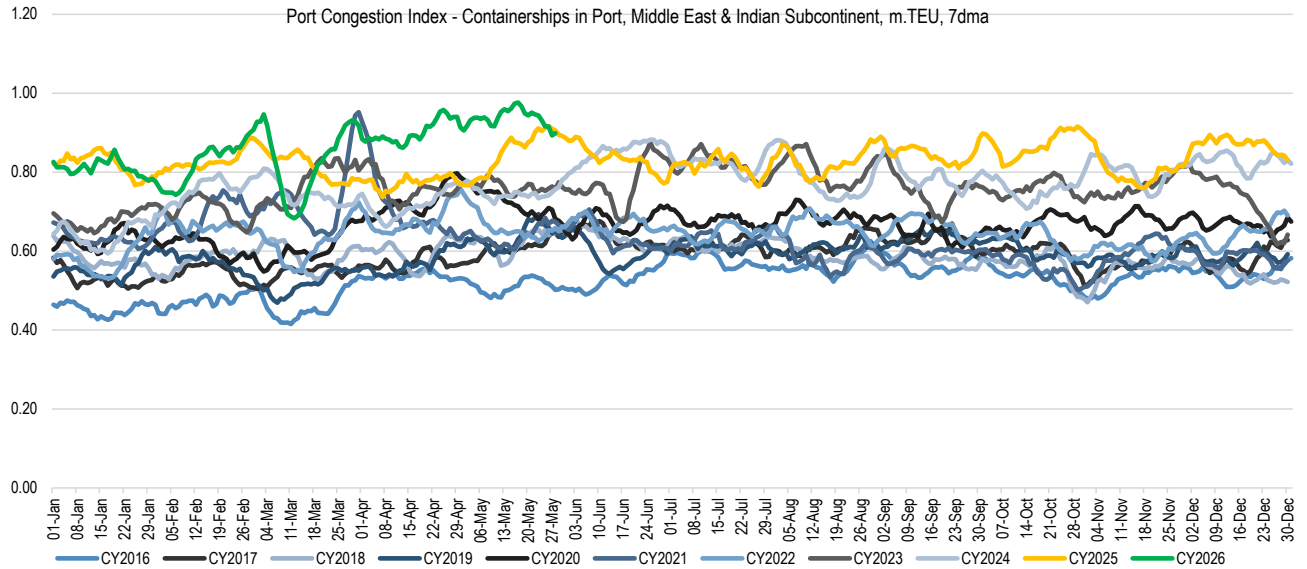
Source: Clarksons. As of 29 May 2026.

Figure 18: Port Congestion Index - Containerships in Port, South East Asia, m.TEU, 7dma



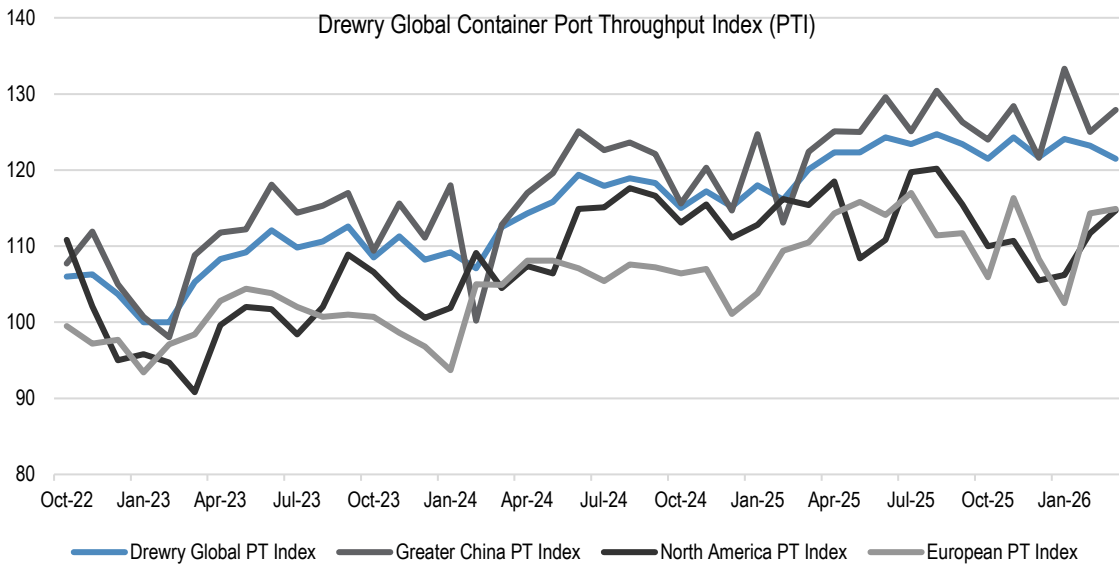
Source: Clarksons. As of 29 May 2026.

Figure 19: Clarksons Port Congestion Index - Containerships in Port, ME & Indian Subcontinent, m.TEU, 7dma



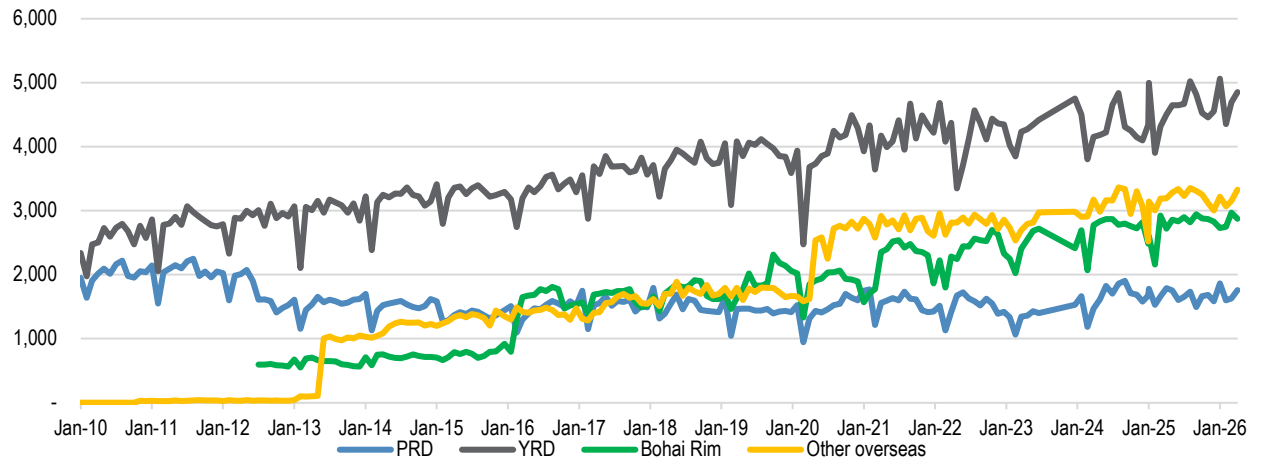
Source: Clarksons. As of 29 May 2026.

Figure 20: Drewry Global Container Port Throughput Index (PTI)



Source: Drewry World, data for March 2026 (released in May 2026)

Figure 21: CMPH Monthly Throughput Tracker by Region



Source: Company data. Latest data is for the month of April 2026.

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Mitsui O.S.K. Lines (9104) (9104.T, 9104 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-Aug-23	OW	3976	4,700
28-Nov-23	OW	4158	4,500
28-Feb-24	OW	5165	6,100
26-Aug-24	OW	5045	5,800
02-Dec-24	OW	5129	6,000
18-Feb-25	OW	5510	6,200
22-May-25	OW	5007	6,000
18-Aug-25	OW	4935	5,700
20-Nov-25	OW	4373	5,400
18-Feb-26	OW	5152	5,800
26-Mar-26	OW	6532	7,200
25-May-26	OW	5650	6,900

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 26, 2014. All share prices are as of market close on the previous business day.

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